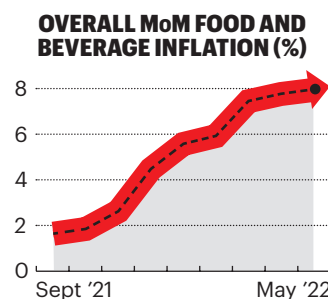
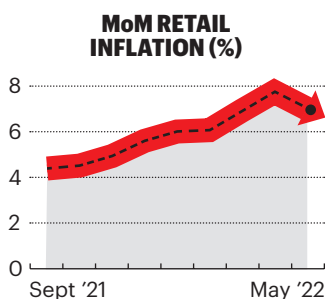




INDIA'S RETAIL INFLATION TRAJECTORY

India's middling retail inflation during the peak of the pandemic has started shooting up due to a convergence of external factors...

...Its impact is seen in persistently high food inflation, which is the biggest contributor to the retail inflation index



Source: CMIE's Economic Outlook

GRAPHICS BY **TANMOY CHAKRABORTY**

"Unfortunately, the dynamism in the economy is lost," says former finance secretary Subhash Chandra Garg. "Agriculture continues to grow at a steady 3.5 per cent; it's unlikely to do any better, [and] might get a little worse next year. So, let's say industry has slowed down massively, services have done all right, but on the whole, not as aggressive growth as we had seen for many years before 2019-20. So, in FY23, we will have 7 per cent growth. And in FY24, too, we will probably grow around 7 per cent. That would be an optimistic estimate unless there are policy blunders."

Both Garg and Bhanumurthy see India growing at 7 per cent in FY23, but the latter sees exports as a major downside risk to his projection: "One major downside risk would be how global demand for domestic commodities is going to sustain. Last year, we had achieved over \$400 billion exports. So, managing that would be a big task, provided the global economy does not get into a stagflationary situation. So that would be the biggest risk and achieving \$440 billion exports would be a tough task."

Another big risk is the Russia-Ukraine crisis. Yuvika Singhal, Economist at QuantEco Research, says: "We have downgraded our GDP growth assessment for FY23 from 7.2 per cent to 7 per cent. A large part of the downward revisions are due to what is happening in Ukraine, its spillover on commodity prices, on the pace of global growth, the inflationary pressures that have exacerbated in India

and in other economies, and the hastened pace of monetary policy normalisation across key economies."

Singhal also sees inflation as a big worry: "We haven't seen this kind of elevated inflation, which is largely supply driven. We have also not seen these kinds of price pressures since the time the RBI began its flexible inflation targeting in 2016. This time, it's a big worry because price pressures are broad-based. My biggest worry would be the impact of inflation on consumption and, thereby, growth. Consumption is 60 per cent of our GDP. So, any kind of

slowdown on that front will have a bearing on GDP growth." At the same time, she expects retail inflation to go down later in the year on the back of a normal monsoon. "Good kharif output in September-October could provide some relief to price pressures in the second half of the year. Also, the impact of measures like the cut in excise duty on petrol and the ban on export of wheat is yet to be reflected in inflation numbers. The impact will be seen in the June inflation reading," she says.

Not concurring with Singhal, Ashok Gulati, Infosys Chair Professor for Agriculture at ICRIER, says: "The impact of a good monsoon would be marginal. There are certain things driving up food inflation, especially imports. For example, there is 17 per cent inflation in edible oils—a good monsoon is not going to affect it because 60 per cent of our edible oil is imported. That depends upon

